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Equity Valuation: Concepts and Basic Tools

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ASSET-BASED VALUATION

Learning Outcomes

- describe asset-based valuation models and their use in estimating equity value
- explain advantages and disadvantages of each category of valuation model

An asset-based valuation of a company uses estimates of the market or fair value of the company's assets and liabilities. Thus, asset-based valuations work well for companies that do not have a high proportion of intangible or "off the books" assets and that do have a high proportion of current assets and current liabilities. The analyst may be able to value these companies' assets and liabilities in a reasonable fashion by starting with balance sheet items. For most companies, however, balance sheet values are different from market (fair) values, and the market (fair) values can be difficult to determine.

Asset-based valuation models are frequently used together with multiplier models to value private companies. As public companies increase reporting or disclosure of fair values, asset-based valuation may be increasingly used to supplement present value and multiplier models of valuation. Important facts that the practitioner should realize are as follows:

- Companies with assets that do not have easily determinable market (fair) values—such as those with significant property, plant, and equipment—are very difficult to analyze using asset valuation methods.
- Asset and liability fair values can be very different from the values at which they are carried on the balance sheet of a company.
- Some assets that are "intangible" are shown on the books of the company. Other intangible assets, such as the value from synergies or the value of a good business reputation, may not be shown on the books. Because asset-based valuation may not consider some intangibles, it can give a "floor" value for a situation involving a significant amount of intangibles. When a company has significant intangibles, the analyst should prefer a forward-looking cash flow valuation.
- Asset values may be more difficult to estimate in a hyper-inflationary environment.

We begin by discussing asset-based valuation for hypothetical nonpublic companies and then move on to a public company example. Analysts should consider the difficulties and rewards of using asset-based valuation for companies that are suited to this measure. Owners of small privately held businesses are familiar with valuations arrived at by valuing the assets of the company and then subtracting any relevant liabilities.

EXAMPLE 18

An Asset-Based Valuation of a Family-Owned Laundry

1. A family owns a laundry and the real estate on which the laundry stands. The real estate is collateral for an outstanding loan of $100,000. How can asset-based valuation be used to value this business?

Hide Solution

Solution:

The analyst should get at least two market appraisals for the real estate (building and land) and estimate the cost to extinguish the $100,000 loan. This information would provide estimated values for everything except the

equipment can be valued at depreciated value, inflation-adjusted depreciated value, or replacement cost. Replacement cost in this case means the amount that would have to be spent to buy equivalent used machines. This amount is the market value of the used machines. The analyst will recognize that any intangible value of the laundry (prime location, clever marketing, etc.) is being excluded, which will result in an inaccurate asset-based valuation.

Example 18 shows some of the subtleties present in applying asset-based valuation to determine company value. It also shows how asset-based valuation does not deal with intangibles. Example 19 emphasizes this point.

EXAMPLE 19

An Asset-Based Valuation of a Restaurant

1. The business being valued is a restaurant that serves breakfast and lunch. The owner/proprietor wants to sell the business and retire. The restaurant space is rented, not owned. This particular restaurant is hugely popular because of the proprietor's cooking skills and secret recipes. How can the analyst value this business?

   Hide Solution

   Solution:

   Because of the intangibles, setting a value on this business is challenging. A multiple of income or revenue might be considered. But even those approaches overlook the fact that the proprietor may not be selling his secret recipes and, furthermore, does not intend to continue cooking. Some (or all) of the intangible assets may vanish when the business is sold. Asset-based valuation for this restaurant would begin with estimating the value of the restaurant equipment and inventory and subtracting the value of any liabilities. This approach will provide only a good baseline, however, for a minimum valuation.

For public companies, the assets will typically be so extensive that a piece-by-piece analysis will be impossible, and the transition from book value to market value is a nontrivial task. The asset-based valuation approach is most applicable when the market value of the corporate assets is readily determinable and the intangible assets, which are typically difficult to value, are a relatively small proportion of corporate assets. Asset-based valuation has also been applied to financial companies, natural resource companies, and formerly going-concerns that are being liquidated. Even for other types of companies, however, asset-based valuation of tangible assets may provide a baseline for a minimal valuation.

EXAMPLE 20

An Asset-Based Valuation of an Airline

1. Consider the value of an airline company that has few routes, high labor and other operating costs, has stopped paying dividends, and is losing millions of dollars each year. Using most valuation approaches, the company will have a negative value. Why might an asset-based valuation approach be appropriate for use by one of the company's competitors that is considering acquisition of this airline?

equipment and airplanes may have substantial value to a competitor. An asset-based approach to valuing this company would value the company's assets separately and aside from the money-losing business in which they are presently being utilized.

Analysts recognizing the uncertainties related to model appropriateness and the inputs to the models frequently use more than one model or type of model in valuation to increase their confidence in their estimates of intrinsic value. The choice of models will depend on the availability of information to put into the models. Example 21 illustrates the use of three valuation methods.

EXAMPLE 21

A Simple Example of the Use of Three Major Equity Valuation Models

Company data for dividend per share (DPS), earnings per share (EPS), share price, and price-to-earnings ratio (P/E) for the most recent five years are presented in Exhibit 11. In addition, estimates (indicated by an "E" after the amount) of DPS and EPS for the next five years are shown. The valuation date is at the end of Year 5. The company has 1,000 shares outstanding.

Exhibit 11: Company DPS, EPS, Share Price, and P/E Data

Year	DPS	EPS	Share Price	TTM P/E
10	$3.10E	$5.20E	—	—
9	$2.91E	$4.85E	—	—
8	$2.79E	$4.65E	—	—
7	$2.65E	$4.37E	—	—
6	$2.55E	$4.30E	—	—
5	$2.43	$4.00	$50.80	12.7
4	$2.32	$3.90	$51.48	13.2
3	$2.19	$3.65	$59.86	16.4
2	$2.14	$3.60	$54.72	15.2
1	$2.00	$3.30	$46.20	14.0

The company's balance sheet at the end of Year 5 is given in Exhibit 12.

Exhibit 12: Balance Sheet as of End of Year 5

Cash	$ 5,000
Accounts receivable	15,000
Inventories	30,000
Net fixed assets	50,000
Total assets	$100,000
Accounts payable	$ 3,000
Notes payable	17,000
Term loans	25,000
Common shareholders' equity	55,000
Total liabilities and equity	$100,000

Hide Solution

Solution to 1:

$D_5 (1 + g)^5 = D_{10} 2.43(1 + g)^5 = 3.10$

$g \approx 5.0\%$

Estimate of value = V_5 = 2.55/(0.10 – 0.05) = $51.00

2. Using a multiplier approach, estimate intrinsic value. Assume that a reasonable estimate of P/E is the average trailing twelve-month (TTM) P/E ratio over Years 1 through 4.

Hide Solution

Solution to 2:

Average P/E = (14.0 + 15.2 + 16.4 + 13.2)/4 = 14.7

Estimate of value = $4.00 × 14.7 = $58.80

3. Using an asset-based valuation approach, estimate value per share from adjusted book values. Assume that the market values of accounts receivable and inventories are as reported, the market value of net fixed assets is 110 percent of reported book value, and the reported book values of liabilities reflect their market values.

Hide Solution

Solution to 3:

Market value of assets = 5,000 + 15,000 + 30,000 + 1.1(50,000) = $105,000

Market value of liabilities = $3,000 + 17,000 + 25,000 = $45,000

Adjusted book value = $105,000 – 45,000 = $60,000

Estimated value (adjusted book value per share) = $60,000 ÷ 1,000 shares = $60.00

Given the current share price of $50.80, the multiplier and the asset-based valuation approaches indicate that the stock is undervalued. Given the intrinsic value estimated using the Gordon growth model, the analyst is likely to conclude that the stock is fairly priced. The analyst might examine the assumptions in the multiplier and the asset-based valuation approaches to determine why their estimated values differ from the estimated value provided by the Gordon growth model and the market price.

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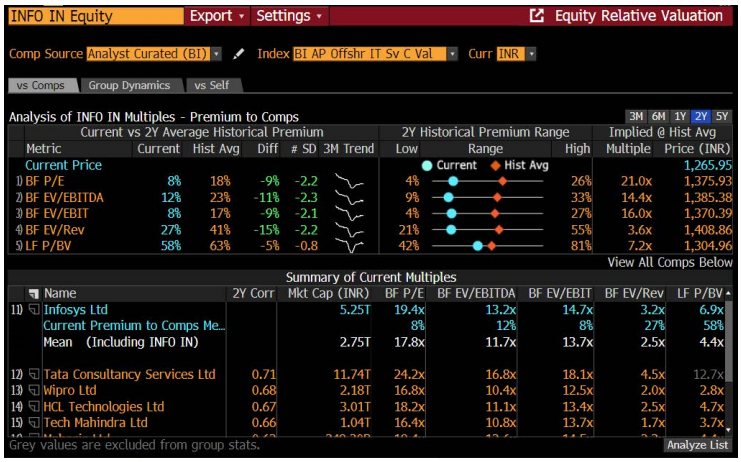

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